EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Abulug lies along the northwestern part of the province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Abulug for the year 2021 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Abulug, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
Financial Position			
Assets	501,170,712.86	445,737,992.91	(55,432,719.95)
Liabilities	126,144,936.37	124,860,025.33	(1,284,911.04)
Govt. Equity	375,025,776.49	320,877,967.58	(54,147,808.91)
Financial Performance			
Income	156,635,492.23	145,949,953.21	(10,685,539.02)
Expense	141,675,136.09	124,964,047.95	(16,711,088.14)
Appropriations, Allotments and Obligation			
Appropriations	165,186,322.00	153,094,380.00	(12,091,942.00)
Allotments	163,422,521.05	149,667,897.33	(13,754,623.72)
Obligations	145,270,817.18	140,875,424.89	(4,395,392.29)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Abulug, Cagayan for the year December 31, 2021 due to the accuracy and reliability of the Road Networks account balance totaling P141,045,323.89 as at December 31, 2021, which cannot be ascertained due to the non-recognition of the road lot component of the road networks, contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, affects the completeness and fair presentation of the account in the financial statements.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Driver's trip tickets to support the disbursements for fuel, oil and lubricants were neither properly accomplished nor serially numbered, and the required Monthly Reports of Fuel Consumption and of Official Travels were not submitted to the Auditor, contrary to COA Circular No. 77-61, dated September 26, 1977; thus, the reasonableness of fuel, oil and lubricants consumed for CY 2021 totaling P5,424,132.41 could not be established.**

   We recommended that the Local Chief Executive direct the General Services Officer to submit the Monthly Reports of Fuel Consumption and Official Travels and ensure that the driver's trip tickets are serially numbered and properly accomplished. Likewise, we recommended that the Municipal Accountant charge the fuel consumptions of the heavy equipment to the specific projects of the Municipality for fair presentation of the account in the Financial Statements.

2. **The Breeding Stocks account valued at P665,000.00 as at December 31, 2021 is unreliable due to the non-submission of the Inventory Report on Breeding Stocks and prevailing market price of each stock as of the reporting date from the Municipal Agriculturist, thereby casting doubt on the existence and valuation of the account presented in the financial statements.**

   We recommended that the Municipal Agriculturist establish the actual status of the Municipality's breeding stocks and their offspring, if any, and render a report to the Municipal Accountant, which includes the fair market value of each stock for proper recording in the books of accounts pursuant to COA Circular 2016-004 and PPSAS 27.

3. **Fund Transfers for various projects, programs and activities from the Department of Health amounting to P4,221,534.94 remained unutilized, notwithstanding the urgent need and nature of the funds and the specific purposes for their release, thus, depriving the beneficiaries of the immediate benefit from the intended purpose.**

   We recommended that the Local Government Unit fast track the implementation of the programs for the fund transfers since the resources are readily available, and in order not to deprive the constituents of the benefits from PPAs where the funds are intended for.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	471,891.24		14,700.00	457,191.24	3.12%
Current Year	-			-	
Total	**471,891.24**		**14,700.00**	**457,191.24**	**3.12%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the seven (5) audit recommendations embodied in the CY 2020 Annual Audit Report, four (4) were fully implemented, and one (1) was not implemented.